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Horizon Robotics | Asia Pacific

1H26 results alert - trough priced in, re-rating keyed to customer wins

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	In-line Financial results versus consensus	Largely unchanged Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Horizon announced a preliminary 1H26 profit of Rmb3.5-4bn (vs. a 1H25 net loss of Rmb5.2bn), partly attributable to fair value changes in financial liabilities. Excluding non-core items, e.g. SBC and fair value changes, Horizon reported a 1H26 net loss of Rmb1.4-1.7bn, widening by 5-28% YoY from Rmb1.3bn in 1H25.

Preliminary 1H26 revenue grew 25-35% YoY to Rmb1.93-2.08bn, driven by product solutions and licensing services. The company expects 1H26 GPM to be 60-66%, flat to lower than 1H25, which may imply a higher contribution from product solutions revenue. 1H26 OPEX likely increased from Rmb2.6bn in 1H25, mainly due to higher R&D expenses related to J7 and HSD.

Slower 1H26 top-line growth shouldn't come as surprise as management has communicated to investors the impact from a weaker domestic market, slower ramp of J6 and 2Q-concentrated launches that weighed on 1H chip sales. To meet consensus and our estimate, Horizon needs to grow chip-driven revenue by over 80% YoY, to which sales expansion in Li, BYD, Geely and Chery would be crucial. We believe the worst-case scenario has largely been priced in while stock upside hinges on its order share wins at major customers, like BYD, and breakthroughs in HSD 2.0.

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Horizon Robotics (9660.HK, 9660 HK)

China Autos & Shared Mobility | China

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$8.70
Up/downside to price target (%)	96
Shr price, close (Jul 21, 2026)	HK\$4.45
52-Week Range	HK\$11.32-3.60
Sh out, dil, curr (mn)	14,652
Mkt cap, curr (mn)	Rmb56,277.8
EV, curr (mn)	Rmb33,003.8
Avg daily trading value (mn)	HK\$1,410

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	(0.81)	(0.19)	(0.08)	0.08
Prior EPS (Rmb)**	-	-	-	-
Revenue, net (Rmb mn)	3,758	6,092	9,381	13,300
EBITDA (Rmb mn)	(3,750)	(2,696)	(733)	1,893
ModelWare net inc (Rmb mn)	(10,469)	(2,793)	(1,143)	1,244
P/E	NM	NM	NM	45.3
ROE (%)	(87.9)	(22.1)	(10.6)	11.6
EV/EBITDA	NM	NM	NM	18.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Horizon Robotics (9660.HK)

Probability-weighted DCF, with probability weightings of 25% bull case, 50% base case, 25% bear case. The balanced probabilities in our bull case vs. bear case reflect our constructive view on Horizon gaining volume market share among ADAS+AD players in China, but we are also aware of rising competition and potential geopolitical headwinds in the smart driving business. Key DCF assumptions: 12.2% WACC (1.9 beta, 3% long-term growth rate).

Risks to Upside

- Faster-than-expected ADAS/AD adoption growth in China
- Delays/failure in OEMs' in-house hardware design
- Narrowing access to other solutions providers in China
- Expanding customer base with additional key customers

Risks to Downside

- Slower-than-expected ADAS/AD adoption in China
- Supply chain disruption
- OEMs' successful in-house hardware design initiatives
- Vehicle sales pressure from key customers in China

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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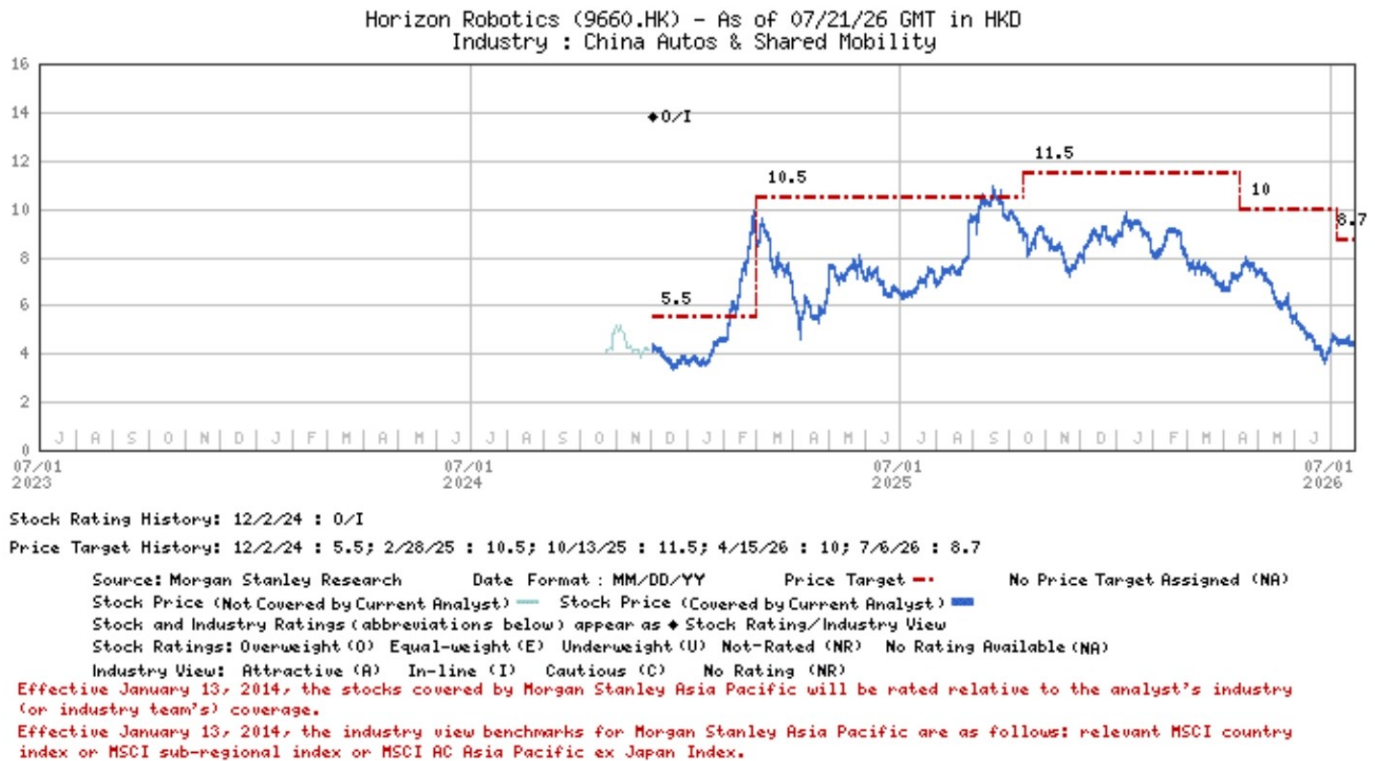
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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/21/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb20.80
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.87
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$2.02
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.20
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.10
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.19
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb17.24
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb10.76
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb18.78
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.46
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$2.92
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb31.48
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb65.83
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb23.50
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb90.05
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.48
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$1.00
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb23.90
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb54.80
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$55.15
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb84.53
Keboda (603786.SS)	O (01/17/2024)	Rmb40.68
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$27.24
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.27
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$4.03
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb20.40
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb50.36

Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb10.95
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb60.00
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$13.02
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb38.10
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$4.34
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.66
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb94.30
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$89.80
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$5.32
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$18.62
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb16.09
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$9.09
Hesai Group (HSAI.O)	O (07/28/2025)	US\$15.29
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.45
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.21
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$48.64
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$38.92
NIO Inc. (NIO.N)	O (08/26/2020)	US\$4.79
WeRide Inc (WRD.O)	O (11/19/2024)	US\$5.92
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$51.90
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$13.33

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.